CASE STUDY – 11

TITLE: BANKING CUSTOMER PROTECTION POLICY

Example: State Bank of India (SBI)

By:

Name: Muthumari.E

Reg No: 2550043

Class: II B. Com (Honours)

TABLE OF CONTENTS

S. No.	Contents
1.	Introduction
2.	Policy Overview
3.	Key Provisions of the Policy
4.	Compliance and Governance Analysis
5.	Policy Evaluation
6.	Business Relevance
7.	Example - State Bank of India (SBI)
8.	Recommendations
9.	Conclusion
10.	References

1.INTRODUCTION:

State Bank of India (SBI) is one of the major banks in India, providing services such as savings accounts, loans, ATM services, internet banking, mobile banking and digital payments. Since banks handle customers' money and personal information, customer protection is essential to prevent online fraud, unauthorized transactions and misuse of information. SBI's Customer Rights, Grievance Redressal and Compensation Policy explain customer rights, complaint-handling procedures and compensation in applicable situations. This policy helps ensure safer banking services, improve transparency, protect customers and maintain trust between the bank and its customers.

2. POLICY OVERVIEW:

A customer protection policy is a set of rules and procedures created by a bank to protect customers while providing banking services. SBI's policy mainly focuses on customer rights, grievance redressal and compensation.

The policy is especially important today because customers use mobile banking, internet banking, UPI, ATM cards and online payments regularly. These services are convenient, but they also create risks if customers are not careful.

Objectives of the Policy:

- Protect customers from unauthorized banking transactions.
- Provide clear ways to report complaints and suspicious transactions.

- Explain customer rights and responsibilities.
- Provide suitable support when customers face banking problems.
- Improve transparency between the bank and its customers.
- Provide compensation where applicable under the relevant rules.
- Increase customer confidence in digital banking.
- Support safe and responsible use of banking services.

3.KEY PROVISIONS OF THE POLICY:

The policy contains important rules and procedures that help protect customers and provide a clear process when a banking problem occurs.

Major Rules and Guidelines:

- ❖ Customers should receive proper information about banking products and services.
- ❖ Transaction alerts help customers notice unusual or unauthorized transactions.
- ❖ Customers can report unauthorized transactions to the bank through available channels.
- ❖ The bank takes suitable action after receiving a complaint.
- ❖ Customers should keep their PIN, password and OTP confidential.
- ❖ The bank follows applicable RBI requirements relating to customer protection.
- ❖ Compensation and customer liability are handled according to applicable rules and circumstances.

Customer Rights and Responsibilities:

Customers have the right to receive proper banking services and fair treatment. They can ask the bank about transactions or services they do not understand and can raise complaints when they face problems.

Customers also have responsibilities. They should not share OTPs, PINs, passwords or other confidential banking information. They should inform the bank as quickly as possible when they notice a suspicious or unauthorized transaction.

Important Procedures:

When a customer notices an unauthorized transaction, the customer should immediately inform the bank. The bank can then take steps to prevent further unauthorized activity through the affected channel. The complaint is registered and an acknowledgement or complaint reference is provided.

4. COMPLIANCE AND GOVERNANCE ANALYSIS:

Banks must follow banking laws, RBI directions and other applicable requirements. SBI's customer protection policy supports compliance by providing clear procedures for customer complaints and unauthorized transactions.

Laws and Regulations:

- SBI must follow the rules and directions issued by the Reserve Bank of India (RBI).

- The bank needs proper channels for customers to report unauthorized electronic transactions.
- The bank needs a complaint-handling system and suitable records.
- The bank must follow applicable rules relating to customer liability and compensation.

Legal and Regulatory Compliance:

The policy gives the bank a structured process for complaint registration, customer support, unauthorized transaction handling and applicable compensation. Following these requirements helps SBI meet regulatory expectations and maintain customer confidence.

Governance Mechanisms:

Good governance means having clear responsibilities, controls and monitoring systems. SBI has procedures for receiving and handling complaints. It also has systems for reviewing unauthorized transaction complaints. These mechanisms help ensure that customer issues are recorded, monitored and acted upon.

Accountability and Transparency:

Accountability means the bank and its employees take responsibility for their actions. Transparency means giving customers clear information. A good customer protection policy supports both by explaining how customers can complain and how the bank will respond.

5. POLICY EVALUATION:

Policy evaluation means checking whether the policy is useful, practical and effective. SBI's policy has several strengths, but there are also areas that can be improved.

Strengths of the Policy

- ❖ Customers have different ways to report banking problems.
- ❖ Transaction alerts can help customers notice unusual activity.
- ❖ Customers can raise complaints through available banking channels.
- ❖ Complaints are registered and can be tracked.
- ❖ The policy explains customer responsibilities.
- ❖ It provides rules for customer liability and applicable compensation.
- ❖ It supports safer digital banking and customer trust.

Effectiveness and Practicality:

The policy is useful because customers can report problems through available channels without always having to visit a branch. Quick reporting allows the bank to take action and reduce the possibility of further loss.

Gaps and Limitations:

- Some customers may not know the correct procedure for reporting fraud.
- Some customers may accidentally share OTPs, PINs or passwords.

- Customers with less digital experience may need additional guidance.
- Fraud methods continue to change and require regular security improvements.
- Customers may sometimes delay reporting suspicious transactions.
- For these reasons, customer awareness, employee training and regular policy review are important.

6. BUSINESS RELEVANCE:

Customer protection is directly connected with the success of a banking business. A bank not only provides financial services but also needs to protect customer money and information and maintain customer trust.

Importance in Modern Banking

- Mobile banking
- Internet banking
- UPI and digital payments
- ATM services
- Debit and credit cards
- Online fund transfers

As digital banking grows, customer protection becomes more important. A clear policy gives customers confidence that there is a proper process when something goes wrong.

Impact on Customers and Employees:

Customers benefit because they know how to report problems and seek support. Employees benefit because the policy gives them clear procedures for handling complaints and fraud-related issues.

Risk Management:

Customer protection helps the bank manage risks related to online fraud, unauthorized transactions, customer complaints, data misuse and operational mistakes. Controlling these risks can reduce financial losses and protect the bank's reputation.

Ethical Practices and Governance:

Banks have an ethical responsibility to treat customers fairly and protect their money and information. Customer protection therefore supports fair treatment, transparency, accountability, ethical banking and good corporate governance.

7. EXAMPLE: TATA CONSULTANCY SERVICES (TCS)

Tata Consultancy Services (TCS) protects customer information by following corporate governance and ethical practices. For example, employees must keep confidential customer business data secure and should not share it with unauthorized persons. This helps TCS maintain customer trust, reduce data security risks, and protect its business reputation.

8. RECOMMENDATIONS:

- ❖ Conduct regular customer awareness programmes about online banking fraud.
- ❖ Clearly tell customers not to share OTPs, PINs and passwords.
- ❖ Provide simple instructions for reporting fraud through digital channels.
- ❖ Make fraud reporting options easy to find in mobile banking applications.
- ❖ Continue improving fraud detection and transaction monitoring systems.
- ❖ Handle customer complaints as quickly as possible.
- ❖ Provide regular employee training on customer protection and complaint handling.
- ❖ Review and update the policy regularly as banking technology and fraud methods change.
- ❖ Encourage customers to report suspicious transactions immediately.
- ❖ Provide additional awareness support for customers who are less familiar with digital banking.

These improvements can make the customer protection system easier to understand and more effective. They can also improve customer trust and reduce the impact of fraud.

9. CONCLUSION:

Customer protection is an important part of moder banking because banks handle customers' money, personal information and financial transactions. SBI's customer protection policy helps protect customer rights, address complaints and deal with unauthorized transactions according to applicable rules. Customers should safeguard their banking information and report suspicious transactions immediately, while the bank should provide secure services and proper complaint support. Overall, regular policy reviews, employee training and customer awareness help strengthen security, transparency, accountability and trust in banking services.

10.REFERENCES:

1.State Bank of India – Customer Rights, Grievance Redressal and Compensation Policy

https://sbi.co.in/documents/53471/263971/Customer%2BRights%2BGrievance%2BRedressal%2Band%2BCompensation%2BPolicy%2B2024%28V ersion%2B5%29.pdf/0200f401-cbc8-68d2-d1a7-a74d305d5332?t=1745317199634

2.Reserve Bank of India – Customer Protection and Unauthorised Electronic Banking Transactions

https://www.rbi.org.in/commonman/English/scripts/Notification.aspx?Id= 2623

3.State Bank of India – Official Website

https://sbi.co.in/

4.Reserve Bank of India – Official Website

https://www.rbi.org.in/